

Bought Without the Keys

How Finland's Fortum lost six billion euros on Uniper, what its board should have done differently, and why most large acquisitions fail

Juri Jukola · jujukol@gmail.com · +358 40 578 8519 · linkedin.com/in/jurijukola

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Contents

Why this matters beyond Finland	2
Part I · The Uniper deal	
1 A cash pile looking for a home	3
1.1 Selling the grids created a deadline	3
1.2 Uniper: E.ON's fossil remainder	3
2 Paying twice for control, and still not getting it	3
2.1 No due diligence, by choice	3
2.2 Three locks: Russia, German company law and the workforce	4
2.3 The second tranche, at a 36 per cent premium	4
3 Governance: nobody owned the whole risk	4
3.1 The board decided; the owner learned late	4
3.2 The break-up that never happened	5
3.3 Eight billion euros before Christmas	5
4 Outcome: a loss that could have been a bankruptcy	6
4.1 The gas stopped, and Berlin changed the rules	6
4.2 Fortum's own cash ran short	6
4.3 The ledger	6
4.4 Was selling to Berlin the right call?	7
4.5 What the report says, and what it leaves out	8
5 Eight things the board should have done differently	8
5.1 A board seat helps, but is not enough	9
Part II · Why most acquisitions fail	
6 Three in four acquisitions fail	10
6.1 The number has not moved in decades	10
6.2 The loser is usually the buyer's shareholders	10
7 The warning signs are well known	11
8 What the winners do	11
8.1 Acquiring as a capability, not an event	11
8.2 Value comes from the buyer's own engine	11
8.3 A price that stands without synergies	11
8.4 Control before cash, and an exit before commitment	11
9 State-owned buyers: Vattenfall and Outokumpu	11
10 Ten questions to ask before a large deal	12
11 What I do not know	12
Sources	13

Why this matters beyond Finland

In September 2017 Fortum, Finland's largest energy company, agreed to buy a stake in the German utility Uniper at 22 euros a share. Two years later it bought more at 29.93 euros. In December 2022 the German government took the whole holding off its hands for 1.70 euros a share [6,15]. Fortum's pre-tax loss on the investment was just under six billion euros. According to the Finnish Parliament's Audit Committee, the company came close to insolvency in 2022 [1].

The Finnish state owns 51 per cent of Fortum because it regards secure electricity supply as a strategic national interest [1]. The minister responsible for state ownership at the time, Mika Lintilä, has said he heard about the deal roughly fifteen minutes before it was announced. The prime minister, Juha Sipilä, said he learned of it at the same time as everyone else [12]. On 17 September 2026 the Audit Committee published its report. It found obvious gaps in how Fortum informed its majority owner and proposed that the state should always have a representative on the boards of the companies it owns [1]. It did not assign personal responsibility to anyone [2].

This is a story about a Finnish utility, but the lessons are not Finnish. Any company with a dominant shareholder faces the same questions: family firms, private-equity portfolio companies, subsidiaries of listed groups. Who decides on a transaction that can sink the company? What must the largest owner know, and when? And how do you know in advance whether a large acquisition is likely to work?

The paper has two parts. Part I reconstructs the Uniper deal: why Fortum bought, how the purchase unfolded, who decided and on what information, how it ended, whether selling to Berlin was the right call, and what should have been done differently. Part II steps back to acquisitions in general. The research is remarkably consistent: most acquisitions fail, and the warning signs are well documented. Uniper displayed almost all of them. The paper ends with ten questions every board and controlling owner should ask before a large deal.

My argument has three parts. The decisive mistakes were made between 2019 and 2021, not in the original 2017 purchase. A board seat for the state, as the committee proposes, would have helped but would not on its own have prevented them. And the odds of an acquisition succeeding can be assessed in advance far better than most boards assume.

The bottom line

1. **Fortum bought without due diligence, by choice.** It relied on Uniper's recent listing prospectus and on the disclosure duties of a listed company. That assessment missed the power of German unions and the limits German company law places on a majority owner.
2. **The decisive error was the second purchase in 2019–2020.** Fortum bought control in order to break Uniper up. German law and its own promise not to use the tools of control made a break-up practically impossible. It paid 36 per cent more per share the second time.
3. **An €8 billion credit package was committed without consulting the owner.** The state's ownership unit was first contacted on 27 December 2021, five days after the credit line was granted. It considered the package oversized relative to Fortum's own finances.
4. **The crisis plan rested on another government's decision.** Fortum counted on Berlin allowing gas importers to pass higher costs to customers. Berlin chose not to, and Uniper's cash drained away.
5. **The ledger:** about €7.2 billion invested in shares, €0.5 billion received on the sale and about €0.9 billion in dividends. Had Uniper failed, roughly €10 billion of Fortum's own debt would have fallen due at once. The Finnish state arranged a €2.35 billion bridge facility.
6. **Selling to Berlin was the right call, and its key term was won:** the €8 billion came back. What was missing was any share of future value. Fortum's right of first offer on Uniper's Swedish hydro and nuclear assets expires on 31 December 2026, in the middle of Germany's privatisation process.
7. **Uniper displayed six of the eight best-documented risk factors in M&A research.** The deal was huge relative to the buyer, the target was listed, its management resisted, the buyer was cash-rich, the business model was unfamiliar and regulators in two countries limited control.
8. **Seventy to seventy-five per cent of acquisitions fail.** The strongest evidence favours a steady stream of small and mid-sized deals. A single deal that is large relative to the buyer is, on the evidence, a coin toss.
9. **A board seat puts the owner in the room, but gives it no veto.** What is also needed is a measurable threshold above which the largest owner must be consulted before the board commits.

PART I**The Uniper deal****1 A cash pile looking for a home****1.1 Selling the grids created a deadline**

In 2014 and 2015 Fortum sold its electricity distribution networks in Finland, Sweden and Norway. The sales raised about €9.3 billion on a debt-free basis and produced some €6.2 billion in tax-exempt gains [1,4]. According to the committee, management's task was then to find more profitable uses for the money. Targets had to fit the company's core competence, generate strong cash flow and be geographically close. A significant share of the reinvestment was to be made during 2017 [1]. The pressure did not come only from within the company. According to the Finnish equity research firm Inderes, the new CEO, Pekka Lundmark, was given two to three years by the board to redeploy the money, and Prime Minister Juha Sipilä stressed that the state's balance sheets had to be put to work [44]. The owner was not a bystander; it helped create the urgency.

In early 2017 Fortum held more cash than debt [3]. Nordic wholesale power prices were low. Fortum had hedged about 70 per cent of its 2018 output at €28 per megawatt-hour [3]. Its 2017 revenue was €4.5 billion and comparable EBITDA €1.3 billion [3].

Regulated grids had produced steady cash flow. That cash flow had now been converted into a lump sum with a timetable attached. Research knows this setting well: the propensity to acquire, and the value destroyed by acquiring, are highest when the buyer can pay from its own cash and does not have to convince outside financiers (section 7). Add a deadline, and the choice of target starts to drive strategy rather than the other way round.

1.2 Uniper: E.ON's fossil remainder

In 2016 the German utility E.ON moved its conventional generation and energy trading into a new company, Uniper, and listed it in Frankfurt [5]. In 2017 Uniper generated 120.8 terawatt-hours of electricity. Gas and oil accounted for 61.9, hard coal for 24.3 and lignite for 11.5 terawatt-hours; hydro contributed 11.8 and nuclear 11.1 [5]. Uniper was Germany's largest gas supplier, serving more than 420 of the country's roughly 900 municipal utilities under long-term fixed-price contracts, while Germany imported more than half of its gas from Russia [1]. Uniper also owned the Russian generator Unipro and had financed about €1 billion of the Nord Stream 2 pipeline [5].

What Fortum wanted was Uniper's Swedish hydro and nuclear capacity, where the two companies already co-owned plants. An expert heard by the committee noted that large hydro portfolios rarely come to market and that buying a single hydro plant would have cost as much as buying the whole of Uniper. Uniper's profitability was about three times that of the grids Fortum had just sold [1]. The original plan was not to keep all of Uniper once control had been secured [1,2].

The size gap was extraordinary. In 2017 Uniper's revenue was about €72 billion, sixteen times Fortum's, and its balance sheet was €48 billion [3,5]. Much of that revenue was energy trading, so the comparison overstates the difference in physical scale. It nevertheless captures the essential point: Fortum was buying trading and procurement exposures many times larger than its own business.

2 Paying twice for control, and still not getting it**2.1 No due diligence, by choice**

In September 2017 Fortum agreed to buy E.ON's 46.65 per cent stake for €3.76 billion and launched a public tender offer for the remaining shares [5,6]. By Fortum's own account, the 22-euro price was a 36 per cent premium to the share price before takeover speculation began in May 2017, and 120 per cent above Uniper's first trading price after its spin-off [45]. It did no due diligence. According to the committee, Fortum judged it unnecessary: Uniper had just published a listing prospectus assessing its own risks, and as a listed company it was obliged to disclose all material facts [1]. Uniper's management and supervisory boards advised shareholders to reject the offer [10]. The company opposed the deal publicly and through its unions. A financial investor would have suited Uniper; an industrial owner like Fortum did not [1]. When the offer closed on 26 June 2018, Fortum held 47.35 per cent [1].

A prospectus tells you what the company itself considers risky. It does not tell you how a trading book behaves when gas prices multiply, or how a works council will treat an owner that plans to break the company up. The

committee found that Fortum's assessment ignored the strong position of unions in German deals [1]. When due diligence is impossible or skipped, there are three substitutes: a price with a margin for error, terms that limit the commitment, and a staged approach in which each step is taken only after the previous one has produced information. Fortum proceeded in stages, but it did not use what the stages taught it.

2.2 Three locks: Russia, German company law and the workforce

The first lock was in Russia. One of Unipro's power plants held a licence to explore for drinking water and ran a small water-supply operation. Russian law on strategic investments classified this as strategic and restricted control by foreign state-owned companies [7]. Moscow's approval in June 2018 capped Fortum at 50 per cent of Uniper [1]. In April 2018 Fortum's then CEO, Pekka Lundmark, said the company's plans depended on constructive cooperation with Uniper's management, and Fortum stated its understanding that Uniper's management had lobbied against the deal in Russia [7].

The second lock was German company law. Even a majority owner cannot instruct a German company's management or access its cash without a domination and profit-transfer agreement, and such an agreement requires 75 per cent of the votes at a shareholders' meeting [9,29]. Without one, the committee notes, a shareholder's rights in Germany are very limited, and even a large owner cannot force a restructuring [1].

The third lock was the workforce. Under German co-determination, half of Uniper's supervisory board represented employees, and German law and the governance code also required independent members [1]. In August 2019 S&P warned that a further purchase could weaken both companies' BBB ratings. The deputy chair of Uniper's works council told Reuters that the report confirmed employees' fears that Fortum had bitten off more than it could chew [11].

All three locks were known, or knowable, before the first offer. The committee concludes that the slow progress towards control shows insufficient understanding of the German market and legal constraints [1]. I agree, with one refinement: the locks were not a surprise, but their cost was underestimated.

2.3 The second tranche, at a 36 per cent premium

In May 2019 Fortum refused to support discharging Uniper's management from liability, in protest at what it called a lack of transparency during and after the offer. Uniper's entire executive team changed during 2019 [1]. In October 2019 Fortum agreed to buy the roughly 20.5 per cent held by the activist funds Elliott and Knight Vinke at 29.93 euros a share, about €2.3 billion in total [6]. That was 36 per cent more than it had paid E.ON. The purchase closed in two steps, taking Fortum to 69.6 per cent in March 2020 and 73.4 per cent in May. By the end of 2020 it held 76 per cent [1].

I regard this as the pivotal decision of the whole saga. In 2017 Fortum bought a company it had not examined from the inside. By 2019 it knew that the workforce was hostile, that Russia imposed a cap, that German law blocked access to the cash without 75 per cent, and that a rating agency was warning. According to the committee, the additional purchases executed a decision taken back in 2017 to seek more than 75 per cent [1]. The goal was not a response to new information; it was the continuation of an old plan. Fortum had two alternatives: hold its minority stake and negotiate, or sell it. It chose a third, and raised the stakes. This is not hindsight. On the day the top-up was announced, an Inderes analyst noted that the original purchase price had been attractive and had created shareholder value, but that Fortum was now paying, by his calculation, more than 40 per cent more without a corresponding rise in value [46].

The 2017 price also carried a premium, so the first purchase is open to criticism too. It was paid for a company whose risks had only partly been assessed, and that was a pricing mistake. But it was not what caused the loss. The loss came when the minority stake was used not to gather information but to raise the stakes.

3 Governance: nobody owned the whole risk

3.1 The board decided; the owner learned late

The committee confirms that the Uniper purchase fell within the Fortum board's general authority and required no shareholder vote [1]. The same report notes that Finnish company law allows a board to refer such a matter to shareholders, and that in large acquisitions affecting a company's business broadly this is what usually happens [1,37]. Fortum did not do so. Lundmark said in 2017 that the state had regarded the deal as a matter for the company [12]. Fortum says its management met the state, like other major shareholders, before the acquisition to discuss its published strategy. At its capital markets day in November 2016 Fortum had said the key means of maximising cash flow from reinvestment was to take part in the consolidation of European power generation [36]. The owner knew the direction, but not the target.

Lintilä has said he learned of the deal about fifteen minutes before the announcement [12]. Finnish broad-

Table 1. How Fortum built and lost its Uniper stake.

Date	Event	Price, €/share	Fortum's stake
9/2017	Agreement with E.ON; public tender offer [5,6]	22.00	–
6/2018	Offer closes; Russian cap at 50% [1]	22.00	47.35%
12/2018	Further purchases on the market [1]	–	49.99%
10/2019	Agreement with Elliott and Knight Vinke [1,6]	29.93	–
3/2020	First tranche; Uniper becomes a subsidiary [1]	29.93	69.6%
5/2020	Second tranche [1]	29.93	73.4%
12/2020	Joint strategy published [1]	–	76%
12/2021	€8bn shareholder loan and guarantee [1,13]	–	78%
7/2022	German stabilisation package, planned dilution [14]	–	c. 80% → 56%
12/2022	Sale to the German state completed [1,15]	1.70	0%

caster MTV found no documents showing how ministers were informed [12]. According to the committee, Bloomberg published details of the negotiations on the very day Fortum was due to discuss them with the state, and Fortum describes its relationship with the ownership unit in 2017 as good [1]. Fortum's current CEO, Markus Rauramo, then its CFO, said in September 2022 that the state was told only when the news was about to leak [12].

Lintilä has also pointed out that in 2017 critics focused on coal, and nobody mentioned gas [12]. That is a fair point, and I return to it in section 5. The information problem was not that the state failed to decide. The state knew Fortum intended to buy in Europe and did not object. It had itself demanded that the balance sheet be put to work (section 1.1). The problem was that the owner had no measurable position the company was bound to respect: how much of its capital a majority owner was prepared to stake on a single deal, and on a single counterparty.

3.2 The break-up that never happened

When Fortum took majority control in March 2020, it promised, to build trust with Uniper's employees, not to sign a domination agreement or squeeze out minority shareholders before the end of 2021 [1,8]. The committee highlights the contradiction: Fortum bought a clear majority to accelerate its strategy while committing not to use the tools that would turn that majority into control [1]. Restructuring Uniper proved slow and in practice nearly impossible, and Fortum settled for cooperation and aligning the two companies' strategies [1].

The joint strategy published in December 2020 sought synergies in Nordic hydro and power trading, solar and wind, and hydrogen [1]. Helsingin Sanomat, Finland's leading daily, read it as making Uniper's gas business central to Fortum's future [2]. The committee's account suggests something less deliberate: the gas business could not be sold, so it had to be lived with. In March 2021 Fortum took over Uniper's leadership. Klaus-Dieter Maubach, formerly deputy chair of Fortum's board, became Uniper's CEO, Tiina Tuomela its CFO and Markus Rauramo chair of its supervisory board [36]. Uniper's risk position in 2021 was therefore the responsibility of management Fortum had appointed. In the short term it seemed to work. In 2021 Fortum posted the best result in its history, half of it from Uniper [1].

3.3 Eight billion euros before Christmas

Gas prices began rising in the summer of 2021. Russian deliveries to Uniper continued normally, but higher prices increased the cash collateral demanded on its energy trading, and in December 2021 those demands soared [1]. Uniper had hedged 90 per cent of its 2022 German power output at €49 per megawatt-hour; the 2022 contract ended the year near €220 [13]. When prices rise, exchanges demand more collateral from sellers. The money comes back when the power is delivered, but the collateral must be posted immediately [13]. This was a liquidity problem, not a profitability problem: according to the committee, the business remained highly profitable [1].

Fortum provided Uniper with up to €8 billion of intra-group financing: a €4 billion shareholder loan and a €4 billion parent guarantee, announced on 4 January 2022 [1,13]. Uniper also arranged a €2 billion standby line with KfW, the German state development bank [13]. Rauramo says the starting point was that Uniper should fund itself as far as it could. Fortum argued that Uniper was its most important subsidiary and that without the financing Uniper's situation would have threatened the whole group [1,39]. Fortum says the loan was on normal market terms [36]. In January S&P affirmed both companies at BBB- with a stable outlook [1], and Rauramo notes that equity markets viewed the situation positively at the time [39].

The arrangement was not discussed with the Finnish state in advance [1,39]. According to the ownership unit, it was first contacted, as part of an insider project, on 27 December 2021 [35]. Bloomberg reported that Fortum had granted the credit line on 22 December [13]. The owner heard five days after the decision and eight days before the announcement. The ownership unit, led by minister Tytti Tuppurainen, considered the package oversized relative to Fortum's finances; it later proved unfavourable and even critical for the company's future [1,35]. The committee says the state learned too late to act, for example by calling an extraordinary general meeting [1]. A state representative joined Fortum's board on 28 March 2022 [1].

At this point Uniper's liquidity risk became Fortum's risk, and through Fortum the state's. The KfW line shows that Berlin's channel was already open in January 2022. The question was never whether Uniper would be financed, but by whom and on what terms.

4 Outcome: a loss that could have been a bankruptcy

4.1 The gas stopped, and Berlin changed the rules

From 16 June 2022 Uniper received only about 40 per cent of its contracted volumes from Gazprom, and eventually nothing. To meet its obligations it had to buy replacement gas on the spot market at many times the contract price [1]. Group debt is cross-linked. Had Uniper been unable to post collateral, its loans would have fallen due, and its insolvency would immediately have triggered repayment of about €10 billion of Fortum's own debt. The committee concludes that letting Uniper fail was therefore impossible for the Finnish state [1].

German legislation decided the outcome. In May 2022 Germany gave gas suppliers a right to adjust customer prices, and on 8 August it issued a decree letting importers pass 90 per cent of their replacement costs to customers from 1 October. After heavy criticism the decree was repealed retroactively on 3 October. Berlin did not want gas costs to hit industry and close factories [1]. Fortum says Germany never implemented the law in a way that allowed costs to be passed on; losses were instead left to accumulate in companies that were then supported with loans and equity [1]. Rauramo writes that Fortum itself lobbied for the spring 2022 amendments and relied on Berlin triggering the third, emergency stage of its gas contingency plan, which would have opened the way to passing prices on [39]. Germany declared the second stage in June 2022 [36]. It never activated the third. Uniper's liquidity, and through it Fortum's, depended on a political decision in another country.

The stabilisation package agreed on 22 July gave Germany a 30 per cent stake, diluted Fortum from about 80 to 56 per cent and ranked KfW's loans ahead of Fortum's. Fortum's €4 billion guarantee stayed in place [14]. It was not enough. By September gas-related losses had reached nearly €8.5 billion [15]. Germany agreed to subscribe €8 billion of new equity at 1.70 euros a share and to buy Fortum's shares at the same price for about €0.5 billion. Uniper would repay Fortum's loan and Fortum would be released from its guarantee [15]. The sale closed on 21 December 2022 [1]. Uniper's 2022 net loss was €19.0 billion [5], and Germany's rescue totalled around €20 billion [1].

4.2 Fortum's own cash ran short

Fortum's own collateral calls on Nasdaq's Nordic power derivatives exchange, excluding Uniper, peaked at about €5 billion on 26 August 2022 [16]. That month Fortum told the state it needed support [1]. On 6 September the state arranged a bridge facility of up to €2.35 billion through Solidium, its investment company. The margin was 10 per cent, later 12 per cent, over six-month Euribor; the effective annual rate excluding the equity component was 14.2 per cent. On drawdown Solidium received the right to subscribe, free of charge, 1 per cent of Fortum's shares, and management pay was restricted [1,16,38]. An external assessor judged the terms to be market-based, and the share issue spread part of the risk across all shareholders [38]. No comparable financing on better terms was available before the end of September [1]. Fortum drew the €350 million minimum, repaid it in March 2023 and cancelled the facility [1].

The loan could be used only for collateral on Fortum's Nordic business, not for Uniper [38]. Fortum's own cash crunch came from its own hedging. My reading is that Uniper did not cause that crunch, but it had already tied up the buffer that would have handled it without the state. The committee concludes that at worst the events of 2022 could have led to Fortum's bankruptcy and endangered Finland's energy security [1].

4.3 The ledger

The committee notes that neither the state nor taxpayers realised a loss, because the state did not sell its shares. The loss showed up in Fortum's market value, reducing the wealth of the state and every other shareholder alike [1]. The state's annual dividends from Fortum were €495–514 million in 2015–2021 and €419 million in 2022 [1]. Fortum has since regained a BBB+ rating and keeps €6–8 billion of liquidity, but covering the Uniper losses will still take years [1].

Table 2. What Uniper cost Fortum and what came back, billion euros.

Item	€bn
Net investment in Uniper shares, 2017–2020 [1]	c. 7.2
of which E.ON's 46.65% stake, 2018 [6]	3.76
of which Elliott and Knight Vinke stakes, 2020 [6]	c. 2.3
Sale price received from the German state, 2022 [1]	0.5
Dividends received from Uniper [1]	c. 0.9
Pre-tax loss [1]	just under 6
Shareholder loan repaid, 2022 [1]	4.0
Parent guarantee released, 2022 / June 2023 [1]	3.0 / 1.0
Solidium bridge facility: committed / drawn [1,16]	2.35 / 0.35
Fortum's own collateral on Nasdaq, peak 26 Aug 2022 [16]	c. 5
Separately: write-off of Fortum's Russian assets, 2023 [17]	1.7

The asset itself was not worthless. Uniper earned €6.3 billion in 2023 [5] and paid €2.6 billion back to the German state in early 2025 [43]. In June 2024 a Stockholm arbitration tribunal awarded Uniper more than €13 billion from Gazprom for undelivered gas [5]. Very little of that has been collected. Uniper offset about €533 million, an unpaid bill from August 2022, and forwarded it to Berlin in September 2024 [40]. In 2025 it recovered further sums through enforcement in German courts, reportedly in the hundreds of millions [41]. A Russian court has meanwhile allowed Gazprom Export to pursue counterclaims of more than €14 billion [42]. Under the state-aid terms, everything recovered goes to the German state [41]. Fortum could not survive the trough that Germany could carry Uniper through.

4.4 Was selling to Berlin the right call?

In the circumstances of September 2022, I believe it was. The July package had proved inadequate, and Germany had decided not to let gas costs be passed to customers [1]. Had Fortum stayed as majority owner, it would have kept consolidating Uniper's losses, its €4 billion loan would have ranked behind KfW's, and its guarantee would have remained [14]. The Finnish state set two clear goals for the negotiations: no new equity from the state, Fortum or its other shareholders, and the return of the loans and guarantees to strengthen Fortum's balance sheet [1]. Both were achieved [35]. According to the ownership unit, Fortum judged the outcome better than nationalisation or bankruptcy, and the state supported it; the state had its own legal adviser, the law firm Borenus [35]. The price was arguably fair, since Germany subscribed its own new shares at the same 1.70 euros [15].

Fortum's bargaining position was weak: Berlin set the rules and Fortum needed to get out. It should nevertheless have pushed harder on two points. The first is a share of future value. Uniper launched arbitration against Gazprom on 30 November 2022 [30], and the final agreements were signed only afterwards, on 19 December [1]. The claim was known, yet Fortum obtained no share of any recovery and no other value-recovery mechanism. Given how little has been collected, the money involved would have been modest so far, but a share of an open claim costs a seller in distress very little to ask for. The Audit Committee asked the ownership unit whether seeking compensation from the German state had ever been discussed. The unit replied with the same paragraph it had used to answer the preceding question on German legislation: discussions were intensive and all parties eventually shared a common view of the situation [35]. The answer does not say whether a claim was considered.

The second point is the right of first offer. Fortum obtained the right to make the first bid if Uniper decides to sell all or part of its Swedish hydro or nuclear business. The right runs until 31 December 2026, and Uniper is not obliged to accept [1,31]. Germany launched Uniper's privatisation in May 2026. In June several energy companies, infrastructure investors and pension funds submitted expressions of interest, and the EU state-aid deadline for Germany to cut its stake to 25 per cent plus one share is the end of 2028 [1,32]. Fortum's right expires before the real sale window closes.

The 2026 date coincides with the period during which the EU barred Uniper from acquisitions and required its remedy disposals to be completed [33]. The right was tied to the remedy period, not to Germany's exit. Two improvements were, in my view, achievable. The right could have been linked to Germany's exit, lasting until the state's stake fell below 25 per cent, which in practice means the end of 2028. And the trigger could have covered a change of control of Uniper or a sale of its Swedish subsidiary, not only a sale of assets by

Uniper itself. The options on the table in Berlin, a listing or a trade sale, concern the whole company [32].

These improvements were realistic. A right of first offer does not fix the price, so it barely depresses the seller's proceeds. The principle had already been conceded, so only the duration and trigger were in play. In September Fortum still held a majority and a €4 billion loan, and Finland had said publicly it would not accept nationalisation without compensation [5]. Out of reach, by contrast, were a right to match the best offer, which deters other bidders, a ten-year right, and a fixed price, which would hardly have survived EU state-aid review. Fortum has said it is interested in the Swedish hydro and nuclear assets [32,34], whose value rises with Nordic electricity demand. A longer right would not have guaranteed Fortum the assets. It would have guaranteed a seat at the table when they are most likely to change hands.

4.5 What the report says, and what it leaves out

The committee records the information failures, the absence of due diligence and the inadequate understanding of German conditions. It notes Fortum's lessons: avoiding large risk concentrations and excessive counterparty exposure, trading energy mainly bilaterally rather than on exchanges, and preparing for once-in-a-century events. The state's ownership processes are described as entirely different from 2017–2018, with quarterly meetings with company management [1]. Finland's 2024 ownership policy also states that the state's strategic interests must not be jeopardised by company decisions such as acquisitions [1].

The report does not assess the conduct of Lundmark, Rauramo, Fortum's board or the ownership unit individually [2]. I see a bigger gap in its failure to assess the decisions separately. The 2017 purchase, the 2019–2020 top-up and the December 2021 financing were different decisions taken on different information. Treating them as one deal lets hindsight fall on the first and leaves the real mistakes in the shade.

5 Eight things the board should have done differently

Hindsight is easy here. In 2017 the deal was criticised for coal, and nobody mentioned gas [12]. The committee itself notes that Russia's change of course surprised European policymakers and companies alike [1], and Rauramo writes that no one was fully prepared for the way the invasion upended energy markets [39]. I therefore judge only what was known, or reasonably knowable, when each decision was taken.

1. Price the missing due diligence. Fortum decided for itself that it did not need to look inside, and still paid a premium [45]. A prospectus does not reveal what trading books and procurement contracts do in a price spike. Such a target can be bought only at a price that absorbs a nasty surprise, or as a stake that can be sold without a large loss.

2. Test the break-up before buying control. The whole rationale was that not all of Uniper would be kept. According to the committee, restructuring proved practically impossible [1]. That should have been established before the 2019 top-up, which was bought at a 36 per cent premium to the first tranche.

3. A majority without control is not a majority. The promise to forgo a domination agreement until the end of 2021 bought labour peace. It also locked the gas business onto Fortum's balance sheet for precisely the two years in which Europe's gas market began to break.

4. Cap counterparty risk. Gazprom and Uniper's long-term customer contracts formed exactly the kind of concentration Fortum now says it avoids [1]. The cap should have been set, in euros and as a share of the balance sheet, before the purchase. A cap set after the crisis is an obituary.

5. Stress-test liquidity against a price spike. Collateral calls are a familiar mechanism of exchange trading. When output has been sold forward at €49 and the price quadruples, a great deal of cash is needed immediately. Asking *how much cash we need if prices rise tenfold in a month* does not require predicting a war. European gas prices had risen by up to 1,000 per cent during 2021, before Russia invaded Ukraine [13].

6. Ring-fence the parent and involve the owner. The December 2021 financing should have been staged, conditioned on German state participation and taken to the owner before the board committed. The parent guarantee turned a subsidiary's liquidity crisis into the parent's. I consider this the most expensive single decision in the chain, because it was taken when the risk was already visible.

7. Never let liquidity depend on another government's discretion. Fortum relied on Berlin allowing costs to be passed through [39]. When Berlin declined, Uniper's losses reached billions within months. The plan should have survived a government choosing to protect its industry instead. That is exactly what Germany did [1].

8. Put the owner's risk appetite in numbers. Finland's 2024 ownership policy prohibits jeopardising strategic interests through acquisitions [1], but it does not say what counts as too large a deal or too large a counterparty.

Without a number, a principle is a matter of interpretation, and the interpretation is made by whoever wants the deal.

5.1 A board seat helps, but is not enough

The committee's proposal is unambiguous: state-owned companies should have a representative of the state on their boards, and those representatives must be competent [1]. The ownership unit agrees. Fortum's board included a state representative in 2014, 2015, 2022 and 2023, but not at the time of the Uniper purchase, not when the December 2021 financing was decided, and not today [1]. The committee asked the unit whether the board's sole authority over acquisitions should be limited. The unit did not answer directly; it proposed board representation instead [35].

The committee's findings weaken a reservation I held in the first draft of this analysis. A state representative on the board in December 2021 would have been in the room when the €8 billion was committed and could have pressed for the matter to go to the owner or a shareholders' meeting. The limits of a board seat are nonetheless real. A director acts for all shareholders in the company's interest [1] and holds no veto. The state was, moreover, informed through an insider list [1], so passing information to the owner was possible. What was missing was an obligation to consult the owner before deciding.

The most effective fix therefore has two parts. Alongside the board seat, ownership policy should set a measurable threshold: when a transaction or commitment exceeds a defined share of the company's balance sheet or market value, the largest owner is consulted before the board's final decision. The committee itself notes that transactions affecting a company's business broadly are usually referred to shareholders [1]. A threshold would turn that common practice into a rule for state-owned companies.

Table 3. Acquisition risk factors in the research, and in the Uniper deal.

Risk factor	What the research says	Uniper
Large relative to the buyer	The larger the deal, the likelier it fails [19]. A deal worth 30% or more of the buyer's market value is, on returns, a coin toss [22].	Target revenue sixteen times the buyer's [3,5]. Present.
Listed target	Acquirers of listed targets earn lower returns than acquirers of private companies [20].	Listed in Frankfurt. Present.
Target management resists	Acquirers in opposed deals earn lower returns [20].	Management and supervisory boards opposed [10]. Present.
Cash-rich, confident management	Firms with CEOs classed as overconfident are 65% more likely to acquire; the effect is strongest when deals are funded internally [21].	€9.3bn from grid sales [4]. Present.
Unfamiliar business model	Targets are chosen badly when the deal's purpose and the target's business model do not match [18].	Gas imports and trading vs. Nordic generation. Present.
Foreign regulation	Regulators may limit control or force disposals (e.g. Outokumpu–Inoxum [24]).	Russian 49.99% cap, German 75% threshold. Present.
Paid in shares	The larger the share component, the higher the risk of failure [19].	All cash. Absent.
Buoyant market before the deal	A strong stock market in the prior year predicts failure [19].	Not assessable from this material.

Table 4. Well-known failed acquisitions.

Deal	Year	Price	What happened
AOL – Time Warner	2000	\$165bn	\$99bn write-down in 2002; split in 2009 [26]
Daimler-Benz – Chrysler	1998	\$36bn	Chrysler sold in 2007 for \$7.4bn [26]
HP – Autonomy	2011	–	\$8.8bn write-down a year later [27]
Microsoft – Nokia (phones)	2014	\$7.2bn	\$7.6bn write-down and 7,800 job cuts in 2015 [25]
Vattenfall – Nuon	2009	SEK 89bn	Write-downs; minister questioned by parliament [23]
Outokumpu – Inoxum	2012	€2.7bn	Forced to divest Terni, returned to ThyssenKrupp in 2014 [24]
Fortum – Uniper	2017–20	c. €7.2bn	Sold in 2022 for about €0.5bn [1,15]

PART II**Why most acquisitions fail****6 Three in four acquisitions fail****6.1 The number has not moved in decades**

A 2011 Harvard Business Review article estimated that companies spend more than \$2 trillion a year on acquisitions, and that study after study puts the failure rate between 70 and 90 per cent [18]. The most thorough recent estimate comes from Baruch Lev and Feng Gu, who in 2024 analysed some 40,000 deals over four decades. They measure success by combining the development of sales and gross margin, share price and goodwill write-offs. Their result: 70–75 per cent of acquisitions fail [19]. About one deal in three used to succeed; recently it has been one in four [19].

The trend is worsening. Lev and Gu find that premiums have risen, goodwill write-offs have grown and conglomerate deals have returned. Use of the word *synergy* in deal announcements tripled between the 2000s and the 2010s [19]. By comparison, the project-management software firm Wrike reports a failure rate of about 36 per cent for internal projects [19]. The measures are not directly comparable, but the gap is large.

6.2 The loser is usually the buyer's shareholders

The classic study is by Sara Moeller, Frederik Schlingemann and René Stulz. Between 1998 and 2001, shareholders of US acquirers lost on average 12 cents per dollar spent on acquisitions at announcement, \$240 billion in total, against \$7 billion, or 1.6 cents per dollar, over the whole of the 1980s. In 1998–2001 acquirers' losses exceeded target shareholders' gains by \$134 billion [20]. The losses were concentrated in a small number of

large deals by highly valued acquirers. Without them, acquirer shareholders would have gained [20].

That finding matters. On average, acquisitions do not destroy value evenly. Value is destroyed in a few large deals, and those deals can be identified in advance.

7 The warning signs are well known

The research literature has identified a set of factors that predict poor results for acquirers. Table 3 lists the most important and compares them with the Uniper deal.

Uniper displayed six of the eight. That is unsurprising when you look at the best-known failures (Table 4). The same features recur: the deal was large relative to the buyer, the buyer understood the target's business poorly, and the price required everything to go right.

The Microsoft–Nokia deal is instructive from a Finnish perspective, because the seller was Finnish. Microsoft paid \$7.2 billion for Nokia's phone business and a year later wrote down \$7.6 billion [25]. For Nokia's shareholders it was a good deal; for the buyer it was not. The price of an acquisition is set by whichever side knows more, and the seller almost always knows more.

8 What the winners do

8.1 Acquiring as a capability, not an event

The strongest evidence on success concerns how companies buy, not what any single deal looks like. McKinsey tracks the world's 2,000 largest listed companies and sorts them into four groups. Programmatic acquirers make more than two small or mid-sized deals a year. Selective acquirers make them less often. Large-deal acquirers make at least one deal worth 30 per cent or more of their own market value. Organic growers rarely buy [22].

Over the ten years to 2022, programmatic acquirers delivered median excess shareholder returns of 2.3 percentage points a year relative to their industries, while organic growers lagged [22]. A large-deal acquirer's chance of beating its industry was about 50 per cent: a coin toss [22]. Among programmatic acquirers, the most active did best, with 70 per cent outperforming less active programmatic peers. Programmatic acquirers also actively divest businesses outside their core [22].

The explanation is simple. When deals are made continuously, the organisation learns to assess, price and integrate them, and any single mistake is small relative to the whole. A big one-off deal is run by a team that has never done anything comparable, and its mistakes are the size of the company.

8.2 Value comes from the buyer's own engine

Clayton Christensen and colleagues distinguish two purposes for an acquisition. One improves the current business, through scale or cost savings. The other changes the company's growth trajectory by acquiring a new business model. Failures, they argue, often stem from buying a target for the wrong purpose, which leads to paying the wrong price and integrating it the wrong way [18].

Google's 2006 purchase of YouTube is the best-known success. Google paid \$1.65 billion for a company less than two years old [28]. In 2025 YouTube's revenue exceeded \$60 billion [28]. The deal was small relative to the buyer, and the value came from the buyer's own advertising machine. Uniper was the mirror image: huge relative to the buyer, with its value dependent on a gas trading business the buyer did not know.

8.3 A price that stands without synergies

If a deal only works with synergies, it is a bet that they materialise. Lev and Gu show that talk of synergies has grown and premiums have risen while success rates have fallen [19]. My rule of thumb: the price must be justifiable on the target's current earnings. Synergies are then the buyer's return, not the seller's.

8.4 Control before cash, and an exit before commitment

Uniper teaches two things the general literature covers less. A buyer must know when and on what terms it will gain control, and which regulators, laws and contracts can block it. It must also know how it will get out, and at what price. A minority stake that can be neither steered nor sold is worse than either alternative.

9 State-owned buyers: Vattenfall and Outokumpu

Fortum is not the only Nordic state-owned company to expand in Europe and pay for it. Sweden's wholly state-owned Vattenfall made an all-cash offer for the whole of the Dutch utility Nuon in February 2009, valued at €8.5 billion. It bought 49 per cent first, with the remainder to follow within six years [23]. An analyst described

state ownership as a credit strength and noted the company's ample financial flexibility [23]. The price was SEK 89 billion [23].

Vattenfall's own history site tells the rest. In less than ten years the company wrote down SEK 165 billion. Nuon was bought when power prices were at their peak, making it the most expensive acquisition in Swedish history. When its value collapsed with falling prices, the responsible minister, Maud Olofsson, was questioned by the Swedish parliament's constitutional committee [23]. The pattern matches Fortum's: a strong balance sheet, state ownership, European expansion, a peak price and, finally, a parliamentary post-mortem.

In January 2012 Outokumpu agreed to buy ThyssenKrupp's stainless steel business, Inoxum, for €2.7 billion. The Finnish state then owned about 40 per cent of Outokumpu [24]. The European Commission cleared the deal only on condition that Inoxum's Italian plant at Terni was excluded [24]. In December 2013 Outokumpu sold Terni and the VDM business back to ThyssenKrupp and launched a €650 million rights issue [24]. The regulatory risk was no surprise, but its cost was higher than assumed when the deal was struck.

Experts heard by the committee noted that empirical research associates state ownership of listed companies with lower market values, especially when the state is the main owner, while in a crisis the state can act with a longer horizon and secure access to finance [1]. From these three cases I draw one structural conclusion. State ownership makes a company's capital cheaper and its balance sheet more credible, because markets assume the state will step in. The state is passive in the deal phase and active in the rescue phase. In Fortum's case the Finnish state arranged a bridge loan [16] and the German state took over the target. The upside is shared among all shareholders, but the tail risk stays with the state. That is why a state owner must define its risk appetite before a deal. A limit set afterwards protects nobody. The same logic applies to any controlling shareholder whose deep pockets let management borrow the owner's credibility.

10 Ten questions to ask before a large deal

I have distilled the analysis into ten questions for boards and controlling owners. Every one of them could have been asked at Fortum in September 2017, October 2019 and December 2021.

1. How large is the deal relative to our balance sheet and market value? If it exceeds a third, we are in coin-toss territory.
2. Does the value come from our capabilities or from the target's current earnings?
3. Does the price stand without synergies?
4. What do we not know because we cannot see inside, and have we priced it?
5. When and on what terms do we gain control, and which regulators, laws and contracts can block it?
6. Who is our largest single counterparty, and what happens if it stops delivering?
7. How much liquidity do we need if prices rise tenfold in a month?
8. Who bears the risk if the target runs into crisis: the target, the parent or the parent's owner?
9. How do we get out, and at what price?
10. Has our largest owner been consulted before we commit, and is the consultation on record?

11 What I do not know

This analysis rests on the full text of the Finnish Parliament's Audit Committee report and on five statements submitted to the committee: two by the state ownership unit (22 May 2025 and 19 March 2026), Fortum's statement of 8 October 2025, Markus Rauramo's statement of 10 March 2026, and the ownership unit's statement to Parliament's Finance Committee of 9 September 2022 [35–39]. Most primary sources are in Finnish; translations and paraphrases are mine. I have not seen the statements of the other experts heard, including Pekka Lundmark, the National Audit Office and the Confederation of Finnish Industries.

Fortum's board minutes and internal analyses have not been published. I do not know what the board knew about Uniper's hedges and gas contracts in December 2021, or what alternatives it was shown. Nor do I know whether Fortum sought a longer right of first offer or a share of the Gazprom claim in September 2022. My assessment in section 4.4 of what was achievable is my own inference.

Figures on the total investment vary by source. I use the committee's: €7.2 billion invested net, €0.5 billion

received on the sale, €0.9 billion in dividends and a pre-tax loss of just under €6 billion. The 22-euro price paid to E.ON is derived from the transaction value and stake. Comparing Uniper's and Fortum's revenues overstates the size gap, because much of Uniper's revenue is energy trading. Amounts recovered from Gazprom have not been fully disclosed; the figures here rest on Uniper's reports and press coverage.

Acquisition failure rates depend on the measure. Lev and Gu combine accounting and share-price data, McKinsey uses total shareholder return relative to the industry, and Moeller and colleagues use announcement returns. The results point the same way but are not directly comparable. The examples in Table 4 were chosen because they are well known and are not representative of all deals.

This English edition is adapted, not translated, from the Finnish version *Ostettu ilman avaimia* (version 1.2). It adds context for international readers and updates the account of the Gazprom award. Version 1.1 adds the state owner's own pressure to put Fortum's balance sheet to work and the premium embedded in the 2017 price [44–46].

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